

Micron Technology, Inc.

MU NASDAQ

Buy	\$1006.66 ▲ 5.06%	12M Price Target \$1150.00	52-Week Range \$125.66 – \$1255.00	Market Cap \$1.14T
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MU: NAND Cycle Rips, AI Memory Demand Insatiable

WHAT HAPPENED

- MU popped 5% today to just over \$1,000 — headlines are pointing to the NAND pricing cycle accelerating again (SanDisk was up 8%, WDC has ripped 70% in six months). Translation: memory chip prices are still going up, which flows straight to Micron's bottom line since they're essentially selling a commodity that got scarce.
- This happened DESPITE a hot jobs report that briefly pushed Fed rate hike odds above 50% — normally that crushes high-beta tech. The fact that MU shrugged it off tells you demand is so strong it's overwhelming the macro fear.

WHY IT MATTERS

Here's the read: when a memory stock rallies through a hawkish Fed print, the market is telling you the earnings power is real and imminent, not a story stock hoping for lower rates. The \$1.3T data center capex number floating around for 2027 is the key — every AI server needs roughly 8x the memory of a regular server, and Micron is one of only three companies on Earth that makes HBM (high-bandwidth memory, the stuff that goes next to Nvidia GPUs). The unusual call buying at the \$1000 strike — 87,000 contracts, over \$54M in notional — is smart money betting this breaks out, not tops out. Watch for a squeeze if MU cracks decisively above \$1,020 with volume.

POLICY & POLITICAL WATCH

Micron is arguably the single biggest corporate beneficiary of the CHIPS Act — they've been awarded roughly \$6.1B in direct grants to build fabs in Idaho and upstate New York, and Trump's team so far has kept CHIPS money flowing even while renegotiating some terms. The bigger tailwind right now is the expanded China export controls on advanced memory: every restriction on Samsung/SK Hynix shipping HBM to China indirectly forces global hyperscalers to lock up more Micron supply. Watch for any softening in the US-China chip dialogue this fall — a thaw would be the one policy event that could cap the stock, because Chinese memory maker CXMT is the wildcard nobody wants to talk about.

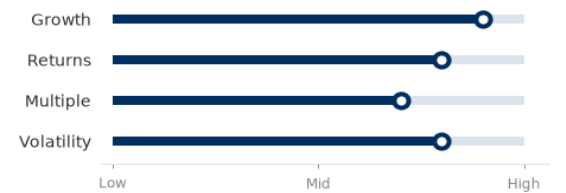
IS IT EXPENSIVE?

At ~45x forward earnings that sounds expensive, but MU is a cyclical — you want to buy it when the P/E looks scary and sell it when the P/E looks cheap (that means earnings have peaked). On EV/EBITDA (basically the price tag on the whole business vs. its cash profits), you're paying about 18x — reasonable if FY27 EPS goes to \$22+ as I estimate. The stock has 8x'd off the 52-week low of \$125, so you're not buying it cheap — you're buying momentum in a supply-constrained market.

Key Data

Price (USD)	\$1006.66
12M Price Target	\$1150.00
Upside / (Downside)	+14.2%
Market Cap	\$1.14T
FY2026E Revenue	\$48,500M
FY2027E Revenue	\$62,000M
FY2026E EPS	\$14.20
FY2027E EPS	\$22.50
Fwd P/E	44.7x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$1100.00	\$1050.00	\$920.00
6 Months	\$1300.00	\$1150.00	\$850.00
1 Year	\$1450.00	\$1200.00	\$800.00
2 Years	\$1800.00	\$1400.00	\$700.00
5 Years	\$2500.00	\$1700.00	\$600.00
10 Years	\$3500.00	\$2200.00	\$500.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Memory/storage (MU, SanDisk, WDC) — the NAND cycle is turning into a proper boom, and AI infrastructure spending is the fuel. Broader tech +0.62% today shows the group is still favored despite Fed jitters.

COOLING OFF: Consumer Staples (-0.32%) and Materials — classic risk-on rotation, money is fleeing defensive names to chase growth.

ROTATION WATCH: Cash is moving from bond proxies (utilities, staples) into AI-adjacent semis — the "picks and shovels" trade is back on, and memory is the newest leg of it after logic chips (NVDA, AVGO) already ran.

RELATED PLAY: If you believe the MU thesis, the memory equipment makers — Lam Research (LRCX) and Applied Materials (AMAT) — sell the tools Micron needs to build new fabs. They're a lower-beta way to play the same trend.

WHO'S WINNING IN THIS SPACE?

- WDC (Western Digital): Up 70% in six months on the same NAND pricing tailwind — pure-play storage beneficiary.
- SNDK (SanDisk): Up 8% today, leading the pack — smaller float means it moves harder on the same news.

MU CONTEXT: Micron is participating but not leading — that's actually bullish because MU has HBM exposure (higher-margin, AI-specific) that pure NAND names don't. If SanDisk keeps ripping, MU has room to catch up as the "quality" way to play the same theme.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

CONVICTION: 8/10 — I'm bullish but not pounding the table at all-time highs; the fundamental story is as good as it's been in a decade, but chasing \$1,000 after an 8x move requires discipline.

POSITION SIZE: 4-6% of portfolio — sized for a high-conviction cyclical, but not so big that a 30% drawdown wrecks you (and cyclicals do have 30% drawdowns).

ENTRY POINTS: I'd wait for a pullback to \$930-960 on any macro fear day; if you must buy today, do a third here, third at \$970, third on any dip below \$920.

TIME HORIZON: 12-24 months — you want to ride this through the HBM4 ramp and FY27 earnings inflection, then reassess when the P/E starts looking "cheap" (that's your sell signal in cyclicals).

WHEN TO BAIL: If DRAM contract prices decline two months in a row, or if MU loses HBM share to Samsung on Nvidia's next platform — either one breaks the thesis.

HEDGING: Buy some downside protection via SOXX puts (semi ETF) — cheaper than MU puts and hedges the whole sector if the AI trade cracks.